

a lender or creditor demonstrates a default, there should be an admission without ambiguity,” says Soumitra Majumdar, Partner at JSA Solicitors.

IBC’s original intent was to give NCLT the authority to approve the resolution chosen by the lenders or creditors. “NCLT had no discretion. It has taken that jurisdiction and started propounding where, strictly speaking, it should not,” says a lawyer on condition of anonymity. There are also instances of judges reserving the final order for months. “We are destroying the value [of a company with delays],” says another lawyer. What, then, is the solution? Some suggest that admission to the process could be faster if a few NCLT benches dealt exclusively with IBC cases. It has also been proposed that the NCLT be empowered to impose penalties for frivolous challenges.

Is there an existing template to avoid delays? One could look at the UK, which has an urgent list. “Insolvency cases need timely attention... We are able to appoint administrators outside of courts, which means fewer delays, but we are also able to approach the insolvency courts on an urgent basis and within a very short timeframe,” says Kanika Kitchlu-Connelly, Partner at TLT’s India Group, a law firm based in the UK. That, then, is the way to go.

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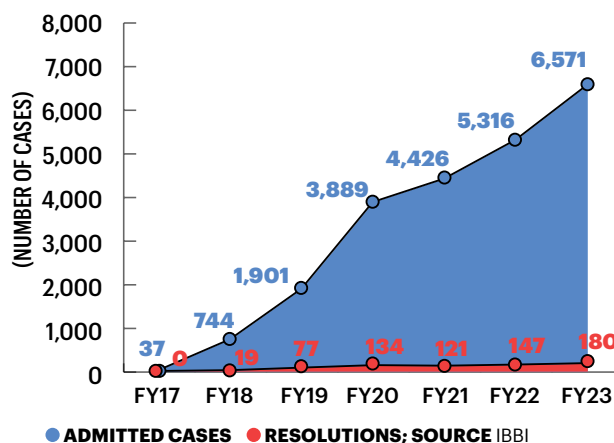
## The Operational Creditors

There is a view that under IBC, operational creditors get a raw deal. “Operational creditors, who have been supporting the defaulting company in the run-up to insolvency, should at least get something,” says Gupta of Sarthak. The IBC does provide for a seat for operational creditors in the Committee of Creditors (CoC) if their total dues are more than 10 per cent of the outstanding debt. But they don’t have voting rights. If financial creditors take a haircut, it means operational creditors get nothing. “The government is considering the implementation of a fixed percentage to minimise litigation and facilitate the resolution plan’s execution,” says Shah of JSA.

Second, the absence of a specific deadline for submission of claims leads to some operational creditors, especially government entities (tax authorities and utility companies), not filing claims on time. In July 2018, an amendment to the IBC introduced a deadline of 90 days from the insolvency commencement date for the submission of claims with proof. However, some benches have taken the view that this is not mandatory, leading to a long process. Then there is the question of secured creditors (lenders with a collateral). In the Rainbow Papers case, the apex court also ruled that governmental authority be considered a secured creditor.

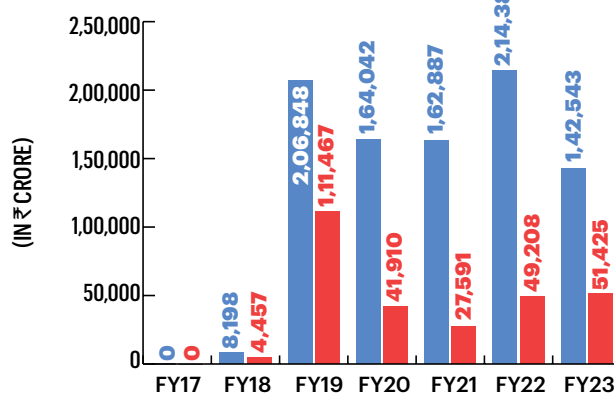
## UNDER PRESSURE

**Even as the number of cases admitted under IBC is rising at a rapid pace, the number of resolutions provided has not kept pace...**



● ADMITTED CASES ● RESOLUTIONS; SOURCE IBBI

**...And the share of realisation as a percentage of the total amount of claims admitted has remained low**



● TOTAL CLAIMS ADMITTED ● TOTAL REALISATION

**NOTE** TOTAL REALISATION INCLUDES LIQUIDATION CASES; NO CLAIMS OR REALISATIONS WERE RECORDED IN FY17 AS THE IBC HAD JUST COME INTO FORCE; **SOURCE** IBBI

This decision can significantly dent the IBC framework. “The secured creditor’s security will be diluted to the extent that unsecured creditors (those lending without any security) are treated as secured,” says C.D. Mehta, Managing Partner at law firm Dhruve Liladhar & Co. The bureaucracy is also a major hurdle as claims are not filed on time, say experts. “Increasing awareness and advocacy programmes by the Ministry of Corporate Affairs (MCA) and Insolvency and Bankruptcy Board of India (IBBI) can be the only way to address this,” says Misha of SAM. The government is trying to link the re-